

Performance of a Contract

Performance of a contract means to meet all terms of the contract. It is possible to partially perform a contract. Partial performance occurs when a party does some, but not all, of what the party has agreed to do.

Example

Millicent and her neighbor, Tommy, agree to swap houses. Because they both hate to move, they also agree to leave all of their furnishings behind but take their personal belongings. If they both do what they say, they've performed the contract. However, if Millicent swaps houses with Tommy but takes her dinette set with her, she has only partially performed on the contract between them. Tommy can sue Millicent or agree to take his dinette set with him, as well, or let Millicent have both, or any other terms the parties agree to. If Tommy wishes to make a real issue out of it, he could terminate the contract based on Millicent not performing.

Timeliness

Part of performance is timeliness. Most real estate contracts contain the phrase "time is of the essence" to prevent unnecessary delays to the process which may harm the parties. "Time is of the essence" is based on the recognition that sometimes one party has to perform one of their contractual promises within a certain time frame so that the other party can perform on their next promise. The phrase "time is of the essence" means that if one party fails to fulfill a contractual promise within the agreed-upon time frame, it is a breach of contract.

When a specific date is not provided in the contract, performance must take place within a "reasonable time." Parties may interpret this time differently which can create issues and a possible lawsuit for breach of contract. In this case, a court may determine a "reasonable time" or they may consider the contract to be invalid because a specific time or date was not provided. It is good practice for contracts to include a clause similar to "Time is of the essence as to the closing date of September 30."